

CHAPTER NO. 9

INDUSTRIAL DEVELOPMENT

(صنعتی ترقی)

Q:1 WHAT IS THE IMPORTANCE OF INDUSTRIAL SECTOR (صنعتی شعبہ) IN THE ECONOMY (معاشیت) OF PAKISTAN?

Q: DISCUSS THE JUSTIFICATION (جواز) AND IMPORTANCE OF INDUSTRIAL DEVELOPMENT. BZU (1990,94,) PU (1995) BWP (1994) AK (1995) (20)

ANS: IMPORTANCE OF INDUSTRIES: (صنعتوں کی اہمیت)

Industrial development has played very important role (کردار) in improving the economic condition (معاشی حالت) of the various countries like America and Japan. Pakistan also wants to remove the poverty (غریب) by improving (بہتر بنانا) the industrial sector. Following are the main advantages (بڑے فوائد) of industrial development :

1. INCREASE IN EMPLOYMENT: (روزگار میں اضافہ)

With the development of industrial sector, the employment opportunities (روزگار کے مواقع) can increase and rate of unemployment

(کم ہوتا) can reduce (روزگاری کی شرح بے). In Pakistan the rate of unemployment is very high. So industrial development is very useful for achieving the full

employment (کامل روزگار حاصل ہونا) in the country.

2. INCREASE IN GNP: (خام قومی پیداوار)

Due to the industrialization (صنعت کاری) the production of the country increases. The resources (ذرائع) of the country are properly utilized (قومی آمدنی). In other words the national income (ح) of the country increases. Now the share of industrial sector is increasing day by day in the GNP.

3. RAISE IN STANDARD OF LIVING (معیار زندگی)

Industrialization increases the efficiency (استعداد و کار) of the worker. A rise in income of the worker raises (معیار زندگی) the standard of living (اوپنچار کھنا) of the people.

4. INCREASE IN GOVERNMENT REVENUE:

With the expansion (اصناف) of industries (صنعتیں) the collection of taxes like excise duty (ایکسائر ڈیوٹی) and income tax increases.

5. INCREASE IN SOCIAL WELFARE:

(معاشرتی فلاح میں اضافہ)

Industrial development increases the revenue (وصول) of the government which is spent on the welfare people. New roads, dams, buildings, and Parks are constructed.

6. INCREASE IN INVESTMENT: (سرمایہ کاری میں اضافہ)

Industries will increase the income of the people with the rise in income, rate of savings

(بچتوں کی شرح) and rate of investment will rise, which is compulsory for achieving the rapid growth rate.

7. DEVELOPMENT OF OTHER SECTORS:

(دوسرے شعبوں کی ترقی)

Industrial development is very useful in improving (بہتر بنانا) the other sectors like transport and construction (تعمیر), agriculture, and communication.

8. IMPROVEMENT (بہتری) IN THE BALANCE OF PAYMENT (توازن ادائیگی):

Now due to industrialization the share (حصہ) of manufactured goods (مصنوعات) is increasing in exports (برآمدات) day by day. It is a favourable (موافق) trend (رخ) for our balance of payment. Because the value of finished goods is increasing as compared to the primary goods.

9. SPECIALIZATION: (تخصیص کار)

Industrialization promotes (ترقی دینا) the specialization which increases the quality and quantity of the product.

10. IMPORTANCE FOR DEFENCE: (دفاع)

Industrially developed country can make arms (اسلحہ) and ammunition (ہتھیار) for the defence of the country. To day we can not depend upon other countries.

11. EXPANSION OF MARKET: (منڈی میں توسیع)

Industries will increase the income of the people. The rise (اُٹاؤ) in income will increase the demand of various goods (مختلف اشیاء). So the market of various goods will expand (وسیع ہونا).

12. AGRICULTURAL DEVELOPMENT: (زرعی ترقی)

Industrialization provides (مہیا کرنا) the machinery like tractors (ٹریکٹر) and modern inputs to the agriculture sector. It improves the economic condition of the farmers.

13. USE OF RAW MATERIAL: (خام مال)

Due to industrialization in Pakistan, now Cotton (کپاس) and Sugarcane (گنا) is used in the domestic industries (گھریلو صنعتیں). It has increased the income of the people, and there is no need to export the raw material.

14. UTILIZATION (استعمال) OF NATURAL RESOURCES (قدرتی ذرائع):

In Pakistan there is a lot of barren land (بخر زمین) and minerals (معدنیات). There is a need of industrial development (صنعتی ترقی) to utilize these resources. coal, gas, oil resources are available but lack of industrialization we can not use it.

15. INCREASE IN FOREIGN EXCHANGE RESERVES: (ذخائر)

Due to industrial development, there will be a rise

(اصناف) in the foreign exchange earnings. The exports will raise and imports will fall. Self sufficiency increases with the industrialization.

16. ECONOMIC STABILITY (معاشی استحکام):

A country which depends upon (مختصر) agriculture sector only can not achieve (حاصل کرنا) economic stability. While (جبکہ) industrialization provides (کرتا) economic stability to the country.

Q: 2 WHAT ARE THE CAUSES (پسماندگی) OF INDUSTRIAL BACKWARDNESS IN PAKISTAN?

SUGGEST MEASURES (اقدامات):

**Q: "IS PAKISTAN INDUSTRIALLY BACKWARD"?
IF SO, WHAT ARE THE CAUSES?**

Q: WHAT ARE THE MAIN PROBLEMS OF INDUSTRIAL SECTOR IN PAKISTAN? PU. (1970, 74, 76, 80, 82, 83, 86). BZU (1995)

Ans: Following are the main causes of industrial backwardness (پسماندگی) or the problems of industrial sector:-

1. BRITISH RULERS POLICY:

(انگریز حکمرانوں کی پالیسی)

British rulers utilized (استعمال کیا) the natural resource (زرائع) of this area for their own economic development (ترقی). They did not establish (قائم) the industries in this area. This policy affected badly (بری طرح). They used the raw material of this

area in their own countries, which caused a huge loss to us.

2. **LACK OF MINERAL RESOURCES:**

(معدنی ذرائع کی کمی)

There is a lack of mineral resources like oil and Coal (کوئلہ), which are necessary for industrial development. So the rate of industrial development is very slow in Pakistan because we are facing the problem of minerals shortage.

3. **LACK OF CAPITAL** (سرمایہ کی کمی):

In Pakistan rate of saving is low due to low (کم فی کس آمدنی) per capita income (کم بچتیں). Due to low savings rate of investment (سرمایہ کاری) is very low. It is the main obstacle (رکاوٹ) for industrialization (صنعت کاری).

4. **LACK OF CREDIT FACILITIES:**

(قرضے کی سہولیات کی کمی)

In Pakistan there is a lack of financial institution (مالیاتی ادارے) which may provide credit to the industries according the needs unluckely finance companies failed and they created new problems.

5. **LACK OF FOREIGN EXCHANGE:**

(زرمبادلہ کی قلت)

There is a lack of foreign exchange which is the most important factor for the import (درآمد) of modern technology (جدید ٹیکنالوجی) for industrial

sector. It is the main problem for industrial development, that we have to pay the debts and also to import the technology.

6- DEVALUATION: (سکے کی بیرونی قدر کم ہونا)

In 1972 Pakistan devalued its currency upto 131%. It increased the value of imported machinery and affected (متاثر ہونا) the industrial sector badly (بری طرح سے). Now IMF is again stressing to devalue the currency.

7- LACK OF TECHNICAL EXPERTS:

(فنی ماہرین کی کمی)

There is a lack of skilled persons (فنی ماہرین) in Pakistan. It is the major drawback (خامی) for our industries. A heavy amount is paid to the foreign experts. Our skilled persons are working abroad for higher return.

8- NATIONALIZATION OF INDUSTRIES:

(صنعتوں کو قومیاں)

In 1972 the government nationalized the various (مختلف) private industrial units and it discouraged (حوصلہ شکنی) the private investment (نجی سرمایہ کاری). Our private sector has not flourished according to our desires.

9- LACK OF TRANSPORT FACILITY:

(ذرائع نقل و حمل کی سہولت کی کمی)

In Pakistan transport system is under developed (پسماندہ). The available facilities are costly

(مستفی) and insufficient (نا کافی). Roads, and rail transport condition is miserable.

10- **ENERGY CRISES:**

The sources of power, like hydel, thermal, and atomic energy are limited in the country. There is shortage of electricity for industries.

11- **INCREASE IN TAXES** (ٹیکوں میں اضافہ):

The heavy duties (بھاری ٹیکس) have been imposed (لگایا) on the industrial production. Heavy import and export (درآمدی برآمدی) duties have also discouraged (خوشد شگنی) the industrial production. Various types of taxes are imposed like, income tax, Iqra surcharge etc.

12- **ELECTRICITY PROBLEM:** (بجلی کا مسئلہ)

In the various parts of the country, it is still not available. On the other hand there is a frequent (آزادانہ) breakdown (رک جانا) of electricity which has affected (متاثر) the production badly (برای طرح).

13- **LACK OF INDUSTRIAL RESEARCH:**

(صنعتی تحقیق کی کمی)

Due to lack of industrial research, improvement (اضافہ) in the production techniques (طریقے) have not been made which has increased the cost of production (پیداوار) and reduced the demand of production.

14- LIMITED MARKET (محدود منڈی):

In Pakistan the purchasing power (قوت خرید) of the people is very low. While the cost of production is very high. It has limited our domestic market (اندرونی منڈی). On the other hand quality of our product is very poor and we can not compete (مقابلہ کرنا) the international market. (بین الاقوامی منڈی). So domestic and international, both markets are limited.

15- ATTITUDE OF THE LABOUR (مزدوروں کا رویہ):

In Pakistan the quality of labour is poor and the spirit (جذبہ) of work is absent (غائب). The political parties also use them for their own benefits (فائدے). It has discouraged the industrial production.

16- CHANGES IN ANNUAL BUDGET:

Our government generally offers (پیش کرتا) the mini budgets time to time (وقتاً فوقتاً) which disturbs the industrial production. People fear to start new projects.

17- DEFECTIVE PLANNING (ناقص منصوبہ بندی):

There is lack of effective (موثر) planning in industrial sector. There is no co-ordination (شعبے) among the different wings (ہم آہنگی) of industrial sector. It increases the cost of production.

Q:3 DISCUSS THE VARIOUS MEASURES (اقدامات) ADOPTED (اختیار کرنا) BY THE GOVERNMENT TO PROMOTE (بہتر بنانا) THE INDUSTRIAL DEVELOPMENT (ترقی) IN THE COUNTRY.

Q: DISCUSS THE INDUSTRIALIZATION STRATEGY (حکمت عملی) OF PAKISTAN.

Q: DISCUSS THE VARIOUS STEPS (اقدامات) TAKEN BY THE GOVERNMENT OF PAKISTAN TO DEVELOP THE INDUSTRIAL SECTOR.
PU. (1976, 78, 80, 81, 83, 85, 87), BZU. (1985)
ISI. BWP. (1983). AK (1995)

Ans: The government of Pakistan has taken various steps to promote (اصناف کرنا) industrial growth (پیداوار) in the country. In 1948 the government declared (اعلان کرنا) the industrial policy and encouraged (حوصلہ افزائی) the private sector (نجی شعبہ) for investment (سرمایہ کاری). Following are the important measures adopted by government to promote the industrial sector.

1- ESTABLISHMENT (قیام) OF FINANCIAL INSTITUTIONS (مالی ادارے):

In 1953 Industrial Development corporation (PIDC) and in 1961 Industrial Development bank was established to improve the industrial sector. In 1975 Pakistan Industrial Credit and Investment Corporation (PICIC) was set up

10- DEVELOPMENT OF SMALL SCALE INDUSTRY:

provincial (صوبائی) small scale industrial corporations provide (میا کر) technical assistance to the small industries (چھوٹی صنعتیں). Govt. is paying proper attention to this sector. Small loans are issued by the commercial banks.

11. RESEARCH INSTITUTIONS (تحقیقی ادارے):

The government has established (قائم کئے) the various research institutes to increase the industrial growth (صنعتی پیداوار).

These are following:

- i) Pakistan Council of Scientific (سائنسی) and Industrial Research.
- ii) Pakistan Industrial Technical Assistance Centre.
- iii) Central Testing Laboratories.
- iv) Pakistan industrial advisory centre (مشاورتی مرکز).

12- USE OF BLACK MONEY (کالے دھن کا استعمال):

The government of Pakistan issued (جاری کئے) three types of special bonds to collect the black money. This policy remained fruitful (کسی حد تک) upto some extent (بار آور). This amount was used for the productive purposes (پیداواری مقاصد).

13- INCENTIVE FOR FOREIGN INVESTORS

:(غیر ملکی سرمایہ کار)

To attract the foreign investors (سرمایہ کار), various incentives have been given to the foreigners (غیر ملکی). In this regard (اس سلسلے میں), government has provided (مہیا کرنا) full security (مکمل تحفظ) to the foreigners.

14- PRIVATE INVESTMENT SANCTIONS

:(نجی سرمایہ کاری کی اجازت)

There was no need of government sanctions (حکومت کی اجازت) upto rupees seventy crore (۷۰ کروڑ روپے) investment. It encouraged the rate of investment in the country.

15- PERMISSION (اجازت) FOR PRIVATE BANKS:

For the development of industrial sector. Government is also considering the establishment (قیام) of private banks. Mehran Bank, Bank Al-Habib, e.t.c are working in private sector.

16- CHANGES IN INCOME TAX SYSTEM:

The government of Pakistan has also changed the income tax system to encourage the industrial sector.

17- TAX HOLIDAY (ٹیکسوں میں چھوٹ)

In the 7th five year plan (ساتواں منصوبہ) all the country was announced (اعلان ہونا) a tax free zone for four years to increase the new industries. In the

(قائم کیا). National Investment Trust (NIT) was also set up in 1962 for this purpose (مقصد).

2- DENATIONALIZATION: (دوبارہ نجی ملکیت میں دینا)

To encourage the private sector (نجی شعبہ) government has denationalized the various industries like Cotton Ginning (کھاس بیلنا), Rice husking (آٹے کی چکی) (تھان چھڑنا) and Flour milling (آٹے کی چکی) to improve (بہتر بنانا) the industrial sector.

3- SELLING OF PUBLIC INDUSTRIES SHARES

(حصص):

The government of Pakistan has also decided to sell the shares of public units to encourage the private investment. In this regard National Disinvestment Authority has been set up. Wapda, PIA, shares are sold. Privatization policy is adopted by the present govt. to encourage private sector.

4- EXPORT FINANCE SCOPE:

(برآمدی مالیات کی اہمیت)

The scope of export finance (مالیات) has been expanded (وسیع کرنا) by reducing (کم کرنا) the interest rate (سود کی شرح) on the items included (شامل) in the scheme (سکیم).

5- EXEMPTION (چھوٹ) FOR PAKISTANIES:

The government has allowed (اجازت) the Pakistanis working abroad to import the

machinery without custom duty (میس). Upto Rs. 10 million. Various types of shares, investment vouchers are offered to them for investment.

6- ESTABLISHMENT (قیام) OF TECHNICAL INSTITUTIONS (ادارے):

To promote industrial development (ترقی) the government has established Engineering Universities, Engineering Colleges, polytechnique Institutions (ادارے), Commerce Colleges and Vocational Institutions. These will produce the technocrats for industrial sector.

7- INDUSTRIAL ESTATES (صنعتی علاقے):

The government of Pakistan has set up the Industrial estates in the important cities and provided the various facilities like roads, transport and banks, to them. This step has increased the number of firms, and factories.

8- PROTECTION TO DOMESTIC INDUSTRIES

(گھریلو صنعتوں کا تحفظ):

To Protect the domestic industries from foreign competition (مقابلہ) government restricted (محدود کرنا) the imports. In 1986 a tariff commission (کمیशन) was set up (قیام) to provide the various incentives to the industries.

9- EXPORT PROCESSING ZONESS:

In 1980 government decided to set up three export processing zones at Karachi, Lahore and Peshawar to improve the industrial sector.

backward areas (پسماندہ علاقے) the tax holiday period is for eight years.

18- PERMISSION (اجازت) TO PRIVATE COMPANIES:

In March, 1989 government of Pakistan has allowed the private sector to establish (قائم کرنا) the private investment companies (نجی سرمایہ کاری). This step of the government has encourage

(صنعتی شعبہ) the industrial sector (جوصلہ افزائی کرنا).